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Education

Ph.D. Economics, University of South Carolina, 2027 (expected)

M.S. Economics, University of Nebraska at Omaha, 2020

M.A. Economics, University of New Hampshire, 2018

B.A. Actuarial Science, University of Nebraska at Lincoln, 2017

Research Interests

Public Finance, Macroeconomics, Spatial Economics

Publications

- "Learning from 25 Years of Changes in Business Tax Policy", with Jason DeBacker. ***Public Budgeting & Finance***, forthcoming.

Working Papers

- "Road Infrastructure and Retail Markets" **JMP (Micro)**, revise and resubmit, ***Economic Inquiry***.
- "Redistribution Through Market Power: Monetary and Fiscal Transmission", **JMP (Macro)**.
- "Regional Price Indexes and Stimulus Payments Allocation", reject and resubmit, ***Journal of Economic Geography***.
- "Uniform Brand Variant Pricing and Cost Pass-Through to Retail Prices" (under review), with Danna Thomas.
- "Tax Multipliers in a DSGE Model", with Jason DeBacker.
- "Investment Tax Incentives in a Production Network", with Jason DeBacker.
- "Investment Tax Incentives and Household Heterogeneity", with Jason DeBacker.
- "Local Market Power, Ownership, and the Incidence of Fiscal Policy".
- "Mobile Internet Growth and Services Trade", with William Hauk and Mohammad Jakaria.

Selected Works in Progress

- "Optimal Allocation of Trade Adjustment Assistance".
- "Data Centers and Vertical Fiscal Externalities", with Yunus Demirci.

Teaching Experience

Instructor

Department of Economics, University of South Carolina

Introduction to Economics
Spring 2027 (scheduled)
Spring 2025 (Evaluation: 4.63/5.00)
Fall 2024 (Evaluation: 4.55/5.00)
Spring 2024 (Evaluation: 4.32/5.00)
Spring 2023 (Evaluation: 3.88/5.00)

Teaching Assistant

Department of Economics, University of South Carolina

International Trade (Undergraduate): Fall 2020, 2021; Spring 2021
Introduction to Econometrics (Undergraduate): Fall 2020, 2023, 2025; Spring 2021, 2022
Labor Economics and Labor Markets (Graduate): Fall 2021, 2022, 2025
Applied Econometrics (Graduate): Spring 2022; Fall 2023, 2024
Health Economics: Fall 2026
Quantitative Methods I (Undergraduate, Graduate): Fall 2024
Principles of Macroeconomics: Spring 2025
Managerial Economics (PMBA): Summer 2021

Research Work Experience

Research Assistant

Department of Economics, University of South Carolina: Summer 2021, 2022, 2024; Fall 2022, 2023, 2025, 2026; Spring 2022, 2023, 2024, 2026

Department of Economics, University of Nebraska at Omaha: Fall 2018 - Spring 2020

Seminar and Conference Participation

National Tax Association 119th Annual Conference on Taxation, November 2026 (upcoming)

Wofford College, Department of Economics, November 2025

Winthrop University, Department of Economics, September 2025

Southern Economic Association Annual Meetings, November 2024

University of South Carolina, Department of Economics, October 2024

University of South Carolina, Department of Economics, April 2024

University of South Carolina, Department of Economics, March 2023

Southern Economic Association Annual Meetings, November 2021

Professional Service and Activities

Conference Discussant

Southern Economic Association Annual Meetings, November 2024

Computer Skills

Python, Stata, MATLAB, R, Julia, SAS, EViews

Languages

English, Uyghur (native), Chinese

References

Jason DeBacker (Chair)
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Assistant Professor
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William Hauk
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Paper Abstracts

- "Road Infrastructure and Retail Markets"

  Abstract: This paper explores the impact of transportation infrastructure on U.S. retail markets and leverages historical variation in transportation networks. Using detailed scanner data, I examine how interstate highways affect consumer welfare. The analysis shows that interstate highways reduce prices and expenditures on retail goods while improving product quality. They also expand both the supply of unique products in stores and the variety of goods consumers purchase. A one percent increase in highway stocks lowers the CES retail price index by about 0.14 percent. Welfare gains are positive across all income groups but roughly twice as large for higher-income consumers. Accounting for construction and maintenance costs, counterfactual welfare analyses indicate that additional interstate highways enhance consumer welfare.

- "Regional Price Indexes and Stimulus Payments Allocation"

  Abstract: In this paper, I develop regional and income group-specific price indexes by estimating demand functions derived from a model of consumer choice with non-homothetic preferences, using detailed barcode-level and household survey data. To illustrate the impact of cost-of-living differences across U.S. households on the real effects of the federal tax and transfer system, the paper examines a counterfactual policy that adjusts the 2020 stimulus payments based on these regional and household group-specific price indexes. The results reveal significant variation in the real impact of the stimulus payments. For instance, to achieve the same real impact, the nominal value of a stimulus payment to a household in California would need to be approximately two and a half times higher than the payment to a household with the same income in Arkansas.

- "Uniform Brand Variant Pricing and Cost Pass-Through to Retail Prices", with Danna Thomas

  Abstract: We show that price uniformity is prevalent within stores and across products of the same brand, termed uniform brand variant pricing. We then examine how this behavior affects input cost shifting to retail prices across four product groups, estimating pass-through regressions via instrumental variables. In each case study, we find that input cost pass-through is effectively identical across brand variants, regardless of whether a given variant contains the input.

- "Learning from 25 Years of Changes in Business Tax Policy", with Jason DeBacker

  Abstract: This paper summarizes the significant changes to the taxation of business income in the United States over the last 25 years and how the resulting policy variation has helped inform research on business taxation. The survey of research on the topic covers investment incentives, international taxation, corporate financial policy, issues with pass-through businesses, compliance, enforcement, and other related topics.

- "Tax Multipliers in a DSGE Model", with Jason DeBacker

  Abstract: This paper analyzes the stabilization properties of tax cuts in a DSGE model. We do this by simulating the a general equilibrium model with a rich set of tax levers in order to quantify tax multipliers over the short and medium-term. The novelty in this paper is that we focus on tax cuts that directly target consumption and investment, which are the most effective counter-cyclical fiscal policies. We find that the short-term multiplier associated with a cut to the consumption tax is larger than the multiplier associated with a cut to the labor income tax, and that the short-term multipliers associated with cuts to investment taxes are even larger. We compare these to the multipliers associated with cuts to broad taxes on capital and labor

income, which are the focus of much of the existing literature. We also find that the medium-term multipliers associated with cuts to consumption and investment taxes are larger than the medium-term multipliers associated with cuts to broad taxes on capital and labor income. These results suggest that tax cuts that directly target consumption and investment are more effective counter-cyclical fiscal policies than tax cuts that target broad taxes on capital and labor income.

- "Mobile Internet Growth and Services Trade", with William Hauk and Mohammad Jakaria

  Abstract: This article studies how internet connectivity, through overall internet use and mobile internet access, affects international trade, with a focus on services. Using data for over 100 countries from 2004 to 2019, we estimate a two-stage structural gravity model linking digital infrastructure to bilateral trade flows. A 10 percent rise in internet use in the importing country raises bilateral services trade by approximately 7 percent, with comparable effects on the exporter side. The strongest responses occur in telecommunications, information technology, finance, and intellectual property services, while the effects on goods trade are modest. Mobile broadband coverage produces similar but somewhat smaller impacts: 2G-and-higher and 3G-and-higher networks both yield positive and significant elasticities, particularly in bandwidth-intensive sectors. These results suggest that expanding both fixed and mobile internet access lowers trade costs and broadens participation in global markets.

- "Investment Tax Incentives and Household Heterogeneity", with Jason DeBacker

  Abstract: An investment tax incentive splits into two income flows with opposite incidence: it pays wages to the households that produce capital goods, whose marginal propensity to consume is high, and it raises the value of the firms that own capital, held by households whose propensity is near zero. A representative agent averages the two and cannot tell them apart. We embed a recursive tax-depreciation block in a heterogeneous-agent New Keynesian model and separate the flows by redistributing the capital-gains component of a policy across households, holding every aggregate fixed. This yields an exact decomposition of the effect of heterogeneity into an amplification term and an ownership term. Instruments order by the share of their incidence that is ownership rather than demand, and for the investment tax credit ownership offsets much of the amplification, by an amount that rises with the capital-goods rent share.

- "Investment Tax Incentives in a Production Network", with Jason DeBacker

  Abstract: We embed an investment tax credit, bonus depreciation, and a capital income tax in a 55-sector New Keynesian model where capital goods are produced by identifiable sectors. The multiplier on a sector-specific credit splits exactly into the output it buys and the revenue it costs, and the two halves have different determinants. The revenue cost is nearly a deterministic function of the sector's tax depreciation rate, which we characterize analytically. The output return is ordered by position in the investment network rather than by the tax code: credits aimed at capital-goods producers deliver the least output. Bonus depreciation is targeted by asset class, so it selects on what a credit costs and is uninformative about what it produces. Measuring the capital-goods bundle through the network also attenuates every aggregate multiplier, and the tax on capital returns most.

- "Local Market Power, Ownership, and the Incidence of Fiscal Policy"

  Abstract: Firms with local market power charge markups that differ across cities, so the same goods cost more in some places than in others. This paper asks who bears those markups, who receives the revenue, and whether fiscal policy can offset the difference. I add spatially varying markups to an estimated spatial equilibrium model with heterogeneous households.

Households pay markups in proportion to what they buy but receive the profits in proportion to what they own, and ownership is far more concentrated than earnings. The result is a transfer of $14 billion a year from non-college to college households in the United States, four times the deadweight loss of the federal income tax and running the other way. Assuming instead that profits track wages, as is standard, leaves the aggregate cost of markups unchanged but reverses who gains from removing them. Almost all of the spatial variation in goods prices survives conditioning on local rents, wages and population, so place-based policies cannot target this burden.

- "Redistribution Through Market Power: Monetary and Fiscal Transmission"

  Abstract: Markups determine whether the income a policy generates reaches households as wages or as profits, and the two are received by households with different propensities to consume. I embed a calibrated markup block in a heterogeneous-agent New Keynesian model and vary market power across the range of economy-wide markup estimates. Higher market power weakens fiscal policy, since a spending shock generates less wage income as the labor share falls. Interest rate cuts instead generate larger equity revaluations that accrue to low-propensity households, so output changes little while incidence shifts toward the wealthy. With sticky prices and heterogeneous firms, a demand expansion shifts sales toward high-markup firms, dampening the fall in the aggregate markup; this matters for transmission mainly when households are heterogeneous, and more so with flexible wages.